

you'd bounced a paper check. But if you say "debit," you'll enter your PIN and the money still comes straight out of your checking account. So why does it matter? Bizarrely, federal rules give you more protection (against fraud, for example) if you sign your name rather than enter your PIN, so make sure you understand them. (See the box on chapter 3 to see why it's a good idea to use a signature whenever possible.)

Some Final Tips on Credit Cards

Whether you carry a balance or not, here are a few more pointers that will save you some money.

DEBIT AND CREDIT CARD FRAUD

If your credit card gets lost or stolen, someone out there could be running up bills under your name. But you don't have to worry about paying the tab for their spending sprees. In cases of fraud, federal law limits your liability to \$50—and most credit card companies won't ask you to pay anything at all. If you notice strange purchases on your credit card statement, let your card company know right away so that they can investigate and take the charges off of your balance.

Debit cards are trickier. If fraud takes place on a signature-based transaction, issuers will usually limit your liability to \$50 (or even zero), and if you have an improper charge, they'll duke it out for you. Most major banks will also reimburse you within a few days for debit card losses due to fraud on signature-based transactions and then investigate, although some banks will wait until after an investigation.

With the PIN network, it's a different story. You want to tell your bank about a fraudulent PIN-based transaction as soon as possible. If you report it within 48 hours, your liability will be limited to \$50. If you report it after two days, however, you could be held liable for up to \$500, and if you take longer than 60 days, your liability could be unlimited.

Also, if someone cracks your PIN by hacking the machine you use to key in your number, they could raid your entire checking